

CHAPTER THIRTY-NINE

FARMER'S ACCOUNT

FOUNDATIONAL TIPS:

* Study SAS 4.

*Single entries and incomplete record.

SPECIAL FEATURES OF FARM ACCOUNTS

1. Special Departmental Accounts "for different activities e.g. Diary, crops, fruits and livestock rearing. These activities may be subdivided as required if need be.
2. System of transfers same as in commercial activities. For example, Debit wages Account and Credit to Rent Received account for Labourers that live in farm.
3. System of rotation of crops resulting in a numbers of fields lying "fallow" occasionally sown with "fallow crops". This means that a number of fields are not in full production.
4. Highly organized farms keep statement data and registers. While the small farm does not attempt to keep any data.
5. Occasionally, heavy expenditure incurred on seeds and fertilizers may be spread over a period whilst equipment purchased will also be capitalized.
6. Farm experts do valuation of livestock and manorial rights.
7. Compensation for loss in case of destruction of animals and crops as a result of disease and pest respectively.
8. Adequate insurance covers. For example, loss of cattle through straying and livestock.

ACCOUNTS REQUIRED:

*Trading and profit and loss account

*Balance sheet.

THINGS TO KNOW:

1. Calculation of sales
2. Calculation of purchases
3. Calculation of opening capital
4. Adjustments of other expenses and income

CALCULATION OF SALES

Cash sales

Credit sales (see ledger below)

Total sales to trading account

N

XX

XX

XXX

CREDIT SALES: TOTAL DEBTORS A/C

	N		N
Bal b/d	XX	Bank/cash: Receipts from debtors	XX
Bills/cheques dishonoured	XX	Bill receivable	XX
Credit sales*(balancing figure)	XX	Returns inward	XX
		Cash discount allowed	XX
		Bad debts written off	XX
		Contra (set off by creditors)	XX
		Bal c/d	XX
	<u>XXX</u>		<u>XXX</u>

CALCULATION OF PURCHASES:

Cash purchases	N
Credit purchases (see ledger below)	XX
Total purchases to trading account	<u>XX</u>
	XX

CREDIT PURCHASES: TOTAL CREDITORS A/C

	N		N
Bank/cash: Payment to creditors	XX	Bal b/d	XX
Bill payables	XX	Bills/Cheques payable dishonoured	XX
Returns outward	XX	Credit Purchases *(balancing figure)	XX
Cash discount received	XX		
Contra (set off by debtors)	XX		
Bal c/d	<u>XX</u>		
	<u>XXX</u>		<u>XXX</u>

CALCULATION OF OPENING CAPITAL:

OPENING ASSETS

	N		N
Land and building	XX		
Plant and machinery	XX		
Furniture and fittings	XX		
Equipment	XX		
Tractors/Motor vehicles	XX		
Stocks	XX		
Sundry Debtors	XX		
Bills receivable	XX		
Prepaid expenses	XX		
Accrued income	XX		
Cash and bank balance	<u>XX</u>		
	<u>XXX</u>		<u>XXX</u>

OPENING LIABILITIES:

Loans	XX		
Sundry creditors	XX		
Bank overdraft	XX		
Bills payable	XX		
Accrued expenses	XX		
Prepaid income	<u>XX</u>	(XX)	
		<u>XXX</u>	

ADJUSTMENT OF EXPENSES:

EXPENSES ACCOUNT

	N		N
Prepayments b/d	XX	Accruals b/d	XX
Cash/Bank a/c: payments during the period	XX	P & L a/c *(Balancing figure)	XX
Accruals c/d	<u>XX</u>	Prepayments c/d	<u>XX</u>
	<u>XX</u>		<u>XX</u>

ADJUSTMENT OF INCOME:

INCOME ACCOUNT

	N		N
Accruals b/d	XX	Prepayments b/d	XX
P & L a/c *(Balancing figure)	XX	Cash/Bank a/c: receipts	XX
Prepayments c/d	<u>XX</u>	Accruals c/d	<u>XX</u>
	<u>XX</u>		<u>XX</u>

ILLUSTRATION 1:

AGBELOBA Farms has the following balances in its cattle rearing department's financial records for the year ended 31st December 2000:

	N
Sales of cattle (190 heads)	563,000
Cattle slaughtered/sold (60 heads)	240,000
Sales of hides	42,000
Sales of offal	36,000
Sales of carcasses (4 heads)	1,700
Opening stock of cattle (500 heads)	420,000
Purchases of cattle (250 heads)	270,000
Opening stock of foodstuffs	8,000
Purchases on concentrates	12,000
Cost of hay transferred	27,000
Cost of crop and pasture transferred	52,000
Labour	19,000
Grinding of feeds	3,000
Repairs of farm ranch	4,000
Depreciation of farm house & equipment (cattle ranch)	3,500
Insurance of farm house property (cattle ranch)	1,500
Apportioned general office expenses	20,000

The following information is also relevant:

There were 69 births of cattle during the year ended 31 December 2000 out of which 3 were stillbirths.
The closing stock of cattle was valued at N9, 000.

You are required to prepare the Cattle Trading Account for the year ended 31st December 2000.